

EQUITY RESEARCH · COMPANY DEEP DIVE

Alphabet Inc. (GOOGL.US)

Communication Services · Internet Content & Information

Large Cap (>\$200B) · Report Date: August 31, 2026

Latest financials: Q4 FY2025 · Model data as of 2026-08-31

HOLD

Composite · Valuation: UNDERWEIGHT

Target \$317.92 · -6.2% upside

Price \$338.96

INVESTMENT HIGHLIGHTS

- **UNDERWEIGHT** — blended target \$317.92 (-6.2% vs \$338.96); Comps 100% valuation after outlier checks.
- Strong revenue growth; high operating margins; conservative balance sheet; strong roe; positive fcf generation
- FCFE DCF not used in target (low FCFE yield / growth equity); rely on comps where shown; analyst used only if not stale.

MULTI-PILLAR INVESTMENT SIGNAL

Pillar	Rating / Signal	Key Metric	Wt
Valuation	UNDERWEIGHT	Blended PT \$317.92	45%
FSA	Strong	Health +0.40 · Strong	20%
Technical	BULLISH	Bullish	20%
Quantitative	POSITIVE	Score +0.40 · 12m +60%	15%
Composite	HOLD	Score +0.09 · 75% confluence	—

Valuation rich but trend improving — wait for confirmation; solid financial statement profile.

INVESTMENT THESIS / EXECUTIVE SUMMARY

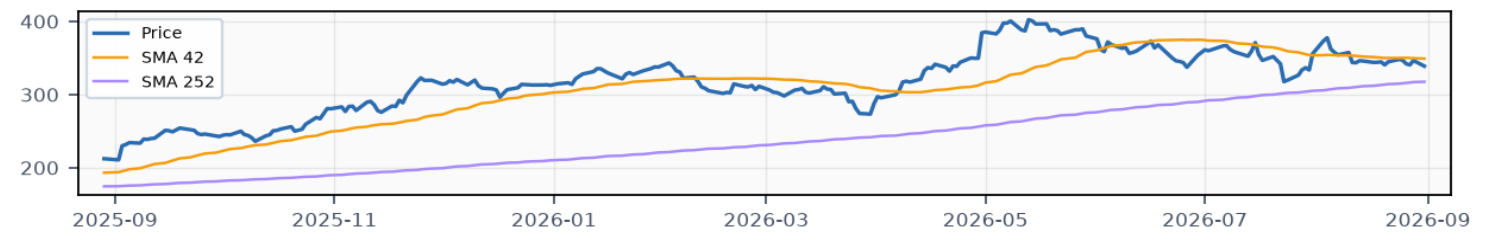
Alphabet Inc. (GOOGL) — Communication Services. Alphabet Inc. offers various products and platforms in the United States, Europe, the Middle East, Africa, the Asia-Pacific, Canada, and Latin America. It... **UNDERWEIGHT** rating; blended target \$317.92. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

Item	Value	Item	Value
Market Cap	\$4.15T	Shares Out.	5867.2M
52-Week Range	\$206.20 – \$408.61	P/E (TTM)	17.0x
P/B	6.7x	Beta	1.24
Avg Volume	31.57M	Analyst Rec.	Strong Buy
Revenue (TTM)	\$445.87B	Rev Growth	+24.2%
Op. Margin	34.0%	FCF (TTM)	\$73.27B
Gross Margin	60.9%	ROE	48.7%
EV/EBITDA	23.9x	Debt/Equity	18.9%
EPS (TTM)	\$19.93	Div Yield	25.0%

PRICE TREND · SMA 42 / 252

GOOGL · Price & SMA



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FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; A = actual, E = forecast)

Metric	FY 2024A	FY 2025A	FY 2026E	FY 2027E	FY 2028E
Revenue (\$M)	350,018	402,836	500,322	588,829	666,160
Revenue Growth (%)	N/A	15.1%	24.2%	17.7%	13.1%
Net Income (\$M)	100,118	132,170	164,155	193,194	218,566
Gross Margin (%)	58.2%	59.7%	60.9%	60.9%	60.9%
Net Margin (%)	28.6%	32.8%	32.8%	32.8%	32.8%
EPS (\$)	17.06	22.53	27.98	32.93	37.25
P/E (x)	19.86	15.05	12.11	10.29	9.10

TECHNICAL & QUANTITATIVE ANALYSIS

Metric	Value	Notes	Metric	Value	Notes
SMA (42d)	\$349.18	Short-term trend	12m Momentum	+59.7%	
SMA (252d)	\$317.58	Long-term trend	3m Momentum	-6.3%	
RSI (14d)	43.7	Momentum oscillator	Ann. Volatility	32.1%	
Trend	Bullish		Sharpe Ratio	0.46	Rf=4%
Golden Cross (20d)	No		Max Drawdown	-44.3%	
Death Cross (20d)	No		Rel. Strength vs SPY	+54.6%	
TA Signal	BULLISH	Price above SMA42; SMA42 > SMA252; SMA42=\$349.18, SMA252=\$317.58	Quant Score	+0.40	POSITIVE
			SMA Backtest (ann.)	28.4%	B&H; 33.3%

VALUATION CROSS-CHECK

Valuation Method	Implied Price	vs. Current	Weight in	Notes
DCF (FCFE)	\$258.06	-23.9%	—	Not in blend
Comps — Blended	\$317.92	-6.2%	100%	Included in blend
Analyst consensus	\$428.07	+26.3%	0% (excluded)	Analyst bullish vs muted comps (stale consensus)
Blended target	\$317.92	-6.2%	100%	Comps 100%

DCF (FCFE) SUMMARY

Ke	Terminal g	FCFE growth	Equity value	Implied price	vs. Current
10.80%	4.00%	10.00%	\$1.51T	\$258.06	-23.9%

PEER COMPARISON · INDUSTRY CONTEXT

Ticker	Company	Market Cap	P/E	EV/EBITDA	Net Margin	Rev Growth
META	Meta Platforms, Inc.	\$1.46T	21.6x	13.6x	29.8%	+28.0%
NFLX	Netflix, Inc.	\$339.19B	25.6x	23.6x	28.2%	+13.4%
DIS	Walt Disney Company (T	\$186.27B	22.2x	11.2x	8.7%	+6.8%
SNAP	Snap Inc.	\$9.41B	N/A	-73.5x	-4.9%	+18.9%
GOOGL*	Alphabet Inc.	\$4.15T	17.0x	23.9x	54.8%	+24.2%

* Subject company. Trades at a discount on p/e vs peers; stronger profitability than peers. Trends: Strong top-line growth (24.2% YoY); High operating leverage (34.0% margin); Above-market volatility (β=1.24) · Risks: Standard sector cyclicality and macro exposure Strong revenue growth; high operating margins; conservative balance sheet; strong roe; positive fcf generation. Source: Yahoo Finance. Not investment advice.